# INTELLICREDIT

AI-Powered Credit Intelligence Engine

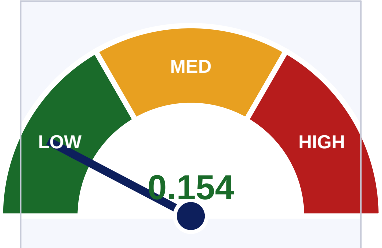
# INVESTMENT ASSESSMENT REPORT

Internal Document — For Investment Committee

| | |
|---|---|
| **Company / Borrower** | Lakme |
| **CIN** | N/A |
| **PAN** | AABCL2345M |
| **GSTIN** | 27AABCL9876R1ZX |
| **Sector** | — |

| | |
|---|---|
| **Loan Type** | — |
| **Amount Req.** | As per application |
| **Tenure** | As per sanction |
| **AI Decision** | APPROVED |
| **Risk Score** | 0.154 |

## APPROVED




| | |
|---|---|
| **Risk Score** | 0.154 / 1.000 |
| **Risk Category** | LOW |
| **Loan Limit** | Rs. 2,307,250 |
| **Interest Rate** | 9.73% p.a. |
| **Reference** | CAM/2026/LAKM/08052336 |
| **Report Date** | 05 August 2026 |

| Prepared by | Reviewed by | Approved by |
|---|---|---|
| Credit Analyst | Credit Manager | Chief Credit Officer |
| ____________________ | ____________________ | ____________________ |
| Date: _______________ | Date: _______________ | Date: _______________ |

## SECTION 1 — EXECUTIVE SUMMARY & FINANCIAL ANALYSIS

■ **DECISIVE FACTOR:** Conditional approval pending verification of GST reconciliation.

**Financial Ratios**

| | |
|---|---|
| **D/E Ratio** | 0.54x |
| **Net Worth** | Rs. 745,000,000 |
| **DSCR** | 4.76x |
| **Net Profit Margin** | 12.7% |
| **Avg Monthly Bal.** | Rs. 11,850,000 |
| **Data Completeness** | 70% |

**GST & Banking**

| | |
|---|---|
| **GSTIN** | 27AABCL9876R1ZX |
| **GST Turnover** | Rs.1,685,000,000 |
| **ITC Claimed** | Rs.110,000,000 |
| **Avg Monthly Bal.** | Rs.11,850,000 |
| **EMI Bounces** | 0 |
| **GST Reconciliation** | ■■ RISK FLAG — 38.5% |

## SECTION 2 — FIVE Cs CREDIT ANALYSIS

| Parameter | Score | Rating | Assessment |
|---|---|---|---|
| **Character** | **6.0/10** | **Adequate** | Good character with minor concerns. Monitor regularly. |
| **Capacity** | **10.0/10** | **Excellent** | Excellent repayment capacity. Strong and consistent cash flows. |
| **Capital** | **10.0/10** | **Excellent** | Strong capital base. Well-capitalized with low leverage. |
| **Collateral** | **6.0/10** | **Adequate** | Adequate collateral. Loan well-secured. |
| **Conditions** | **7.0/10** | **Good** | Neutral conditions. Standard sector risk. |
| **OVERALL** | **8.1/10** | **Wtd. Avg.** | Combined weighted Five Cs score. |

## SECTION 3 — AI RISK DRIVERS (SHAP)

| Risk Factor | SHAP | Direction | Interpretation |
|---|---|---|---|
| Active Litigation | 1.5997 | ▼ Dec. | Favourable |
| EMI Bounce Count | 1.5751 | ▼ Dec. | Favourable |
| GST Filing Regularity | 1.2346 | ▲ Inc. | Unfavourable |
| GSTR 2A vs 3B Variance | 0.7344 | ▼ Dec. | Favourable |

## SECTION 4 — AI REASONING CHAIN

AI reasoning not available.

## SECTION 5 — SWOT ANALYSIS

### STRENGTHS

- Excellent repayment capacity with a Capacity score of 10.0/10, indicating strong and consistent cash flows
- Strong capital base with a Capital score of 10.0/10, characterized by a low debt-to-equity ratio of 0.0x and a high net worth of Rs.745,000,000
- Healthy financial ratios, including a DSCR of 4.76x and a net profit margin of 12.7%, demonstrating the company's ability to meet its debt obligations

### WEAKNESSES

- GSTR-2A vs 3B mismatch detected with a variance of 38.55%, which may indicate potential GST compliance issues
- Thin cash flow margin of 7.7%, which could be a concern in case of unexpected expenses or revenue shortfalls
- Presence of 1 negative news article, including a GST notice for ITC mismatch, which may impact the company's reputation and compliance

### OPPORTUNITIES

- Growing revenue, as evidenced by a 15% revenue growth in Q3, which could lead to increased cash flows and improved repayment capacity
- Low sector risk, with a moderate risk score of 5/10, which may provide a relatively stable operating environment
- Potential for improved GST compliance, which could mitigate the risk of penalties and reputational damage

### THREATS

- GST reconciliation issues, with a risk flag and a variance of 38.55%, which may lead to penalties and compliance risks
- Potential impact of negative news articles, including the GST notice, on the company's reputation and relationships with stakeholders
- Risk of sudden large cash withdrawals, which could affect the company's liquidity and repayment capacity

Lakme's strong capital base, excellent repayment capacity, and growing revenue provide a solid foundation for its creditworthiness, but the company must address its GST compliance issues and monitor its cash flows to mitigate potential risks. Overall, the company's low risk category and approval decision suggest a favorable credit assessment, pending verification of GST reconciliation.

## SECTION 6 — EXTERNAL RESEARCH & MACRO TRIANGULATION

| | |
|---|---|
| **External Risk** | Medium |
| **News Risk Score** | 3.5/10 |
| **Litigation** | None found |
| **MCA Charges** | None |

**Synthesis:** The external risk signals are moderately concerning due to the GST notice, but the company's profit after tax (PAT) of 208800000.0 suggests a stable financial position. However, the GST notice may impact future financials, and further investigation is needed. The relatively low news risk score of 3.5/10 somewhat mitigates the risk.

**Red Flags**

• GST notice for ITC mismatch

**Positives**

• No other significant negative signals

## SECTION 7 — EARLY WARNING SIGNALS

| # | Signal | Frequency |
|---|---|---|
| 1 | Monitor GST filing regularity monthly | Monthly |
| 2 | Track EMI payment pattern | Quarterly |
| 3 | Watch for sudden large cash withdrawals | Quarterly |

## SECTION 8 — CREDIT CONDITIONS & COVENANTS

| Type | Condition |
|---|---|
| **Pre-Disbursement** | Submit audited financials + GST returns for past 3 years. |
| **Pre-Disbursement** | Execute all security documents; SARFAESI-compliant first charge. |
| **Ongoing Covenant** | Quarterly stock/debtor statements; maintain DSCR > 1.25x. |
| **Ongoing Covenant** | Prior written approval for additional LT borrowings > Rs. 50L. |
| **Annual Review** | Audited Balance Sheet + P&L; within 6 months of FY end. |
| **Annual Review** | Annual site inspection by relationship/credit manager. |

## SECTION 9 — RECOMMENDATION & PROPOSED SANCTION TERMS

| | |
|---|---|
| **Borrower** | Lakme |
| **Sanctioned Limit** | Rs. 0.23 Cr (Rs. 23.07 Lakhs only) |
| **Rate of Interest** | 9.73% p.a. (Floating — MCLR linked) |
| **Primary Security** | Hypothecation of current assets |
| **Collateral** | As per application / valuation report |
| **Processing Fee** | 0.50% of sanctioned limit + GST |
| **Annual Review** | 05-08-2027 |

**APPROVED**

| Credit Analyst | Credit Manager | Head of Credit | Chief Credit Officer |
|---|---|---|---|
| ____________________ | ____________________ | ____________________ | ____________________ |
| Date: ____________ | Date: ____________ | Date: ____________ | Date: ____________ |